CHAPTER 4

The Competency Chain

> *"Good enough is not High Performance. Good enough is the architecture of BUSYness."*

You cannot build a High-Performance Organisation with compromised people in compromised roles.

There is one assumption that costs organisations more than almost any other. More than poor strategy. More than weak marketing. More than bad timing. It does not sound expensive when you first hear it. In fact, it sounds perfectly reasonable — the kind of thought that occurs naturally under pressure, when the calendar is full, the role has been vacant too long, and the budget is tighter than it should be.

The assumption is this: *"They will figure it out."*

That the recruiter hired in a hurry will settle in. That the employee promoted without preparation will grow into the role. That the manager appointed because they were the best salesperson will somehow become the best people leader. That training can wait until operations slow down.

They never do slow down. That is the thing about BUSY organisations. They generate their own urgency. There is never a good time. The role always needs filling now. The project is always too critical to pause. The quarter is always too important to spend time on something as intangible as development.

And so the assumption grows roots. It becomes the default. And steadily, one compromise at a time, the organisation builds itself on a foundation of *good enough*.

Good enough is not High Performance. Good enough is the architecture of BUSYness.

Not Seven Problems. One Chain.

The Competency Chain is not a metaphor. It is a description of how compromise actually spreads through an organisation — not randomly, but sequentially. Each link is broken by the one before it. Each compromise makes the next one feel more necessary and more legitimate.

It begins with a single decision made under pressure. It ends with an organisation that cannot fulfil its purpose — not because the

people are not working hard, but because the architecture of competency was compromised before the work ever began.

Link One: Recruitment Compromised.

Every hire is a decision about what kind of organisation you are building. High-performance organisations treat every hire as a strategic investment. BUSY organisations treat every hire as an operational necessity. The right person takes time. You do not have time. And so you hire the available candidate rather than the right one.

Each decision sounds reasonable in isolation: "She is not exactly what we need, but she will grow into it." "He is good enough for now. We can upgrade later." Collectively, they build a team on a foundation of compromise — a team capable of producing compromise and culturally conditioned to accept it.

The cost is not abstract. The US Department of Labor estimates that a bad hire costs a company at least 30% of that employee's first-year earnings. SHRM puts the average total cost of a bad hire at up to $240,000. 74% of employers admit to having made at least one wrong hiring decision. 80% of all employee turnover can be traced back to poor hiring choices.

An IT company in western India took this seriously and revamped their entire recruitment process. For each role, we worked with them to create a role-based competency framework. Business teams created technical assessments. Leaders were trained in Behavioural Event Interview (BEI) techniques. A structured trial-project

process was added. The result: in less than two years, they grew from 30-40 people to a thriving 300+ person company — on track to reach 700+ by year end. Recruitment treated as a strategic investment, not an operational necessity.

Compromise at the point of entry, and you compromise everything downstream.

Link Two: Training Compromised.

The new hire joins. The training programme exists somewhere on a shared drive, but operational demands always take priority. The person learns on the job — which means they learn the existing habits, the existing workarounds, the existing culture, including everything that needs to change.

Glassdoor's research found that a structured onboarding process improves new hire retention by 82% and increases productivity by 70%. SHRM adds that 69% of new hires who experience a structured, positive onboarding stay for more than three years. All of it available through the investment the BUSY organisation consistently cuts first.

NIS Sparta — at one time the largest corporate training company in India — had an induction boot camp of 21 days for new trainers. Training, delivery skills, programme content, certification. No trainer would be scheduled for delivery before being certified by an internal team. Quarterly audits, ongoing certifications. This was considered normal and essential. Should this not be the standard

for every machine operator, every supervisor, every manager in every company?

Most companies do not have clear understanding of the distinction between training, learning, and competency development. The activity called "training" gets done instead of the competency development that would actually change performance.

In a BUSY organisation, training is always the first thing cut and the last thing restored.

Link Three: Promotion Compromised.

The best salesperson becomes the sales manager. The most senior employee becomes the supervisor. The logic seems sound: reward your best performers with advancement.

But domain excellence and leadership excellence are not the same competency. They are not even related competencies.

A 2019 study published in Management Science analysed data from 214 companies and 53,035 workers. The finding was unambiguous: companies systematically promote their best salespeople into management roles — even though sales performance is *negatively* correlated with management performance. The better someone is at selling, the research suggests, the worse they are likely to be at leading a sales team.

As Gallup's research established (and as we explored in Chapter 2), managers account for 70% of the variance in employee engagement.

When that manager was promoted without preparation, that 70% was being driven by someone working well beyond their readiness.

One Managing Director we worked with had developed a habit: recruit senior people and then expect them to contribute across all departments simultaneously, regardless of their specific capabilities or role clarity. The result was everyone playing everywhere, nobody clearly accountable for anything. Some people who were skilled at managing upward — communicating well with the MD — got disproportionate visibility and influence. Others who had true potential and could have been groomed into high performance with the right mentoring never got the inputs they needed. They were left to figure it out. And they could not. Good people who could have been developed into outstanding leaders were lost — not because of their limitations, but because of the absence of any real training, mentoring, or development culture. The cost was invisible to the MD, because what he saw was effort and activity. What he could not see was the potential declining under the weight of it.

Promoting people into leadership without preparing them for leadership does not reward them. It sets them up to fail.

Key Finding	Source
Bad hire cost: 30% of first-year earnings (Dept. of Labor); up to $240,000 total (SHRM)	*US Dept. of Labor; SHRM Human Capital Benchmarking Survey 2023*

Key Finding	Source
74% of employers have made a wrong hire; 80% of turnover stems from poor hiring	*CareerBuilder; Blue Signal Search 2024*
Structured onboarding → 82% higher retention; 70% productivity increase	*Glassdoor 2015; SHRM*
Companies promote the best salespeople to managers despite a negative correlation	*Benson, Li & Shue, "Promotions and the Peter Principle," Management Science, 2019*
Managers drive 70% of the variance in employee engagement	*Gallup, State of Global Workplace 2024/25*

Link Four: Sales Compromised.

With a team built on compromise, the sales process follows suit. The wrong clients get signed — wrong fit, wrong margin, wrong expectations. The team is under pressure to generate revenue, and pressure produces the same thing in sales that it produces everywhere else: short-term optimisation at the expense of long-term health.

In one defence industry SME we serve, an interesting data point emerged: they are winning 25% of bids by number — but only 5% by value. They are winning many small orders that have the same processing and management costs as large orders, but with no real profits. One deal examined in detail: 38.5 lakh rupees in billing, expected profit of 2.5 lakh. Once all expenses were fully understood, the reality was a loss of 62 thousand rupees.

All orders are not Business. Some are BUSYness. All customers are not Business. Some are BUSYness.

Link Five: Delivery Compromised.

And then the work starts. And it is harder than it should be. Because the people doing it were hired under pressure, trained inadequately, managed by someone promoted without preparation, and sold into a client engagement structured primarily to close the deal.

In two manufacturing companies we work with — one in Mumbai serving the pharma industry, one in Bengaluru serving the defence industry — the pattern was identical. Both wanted to expand sales revenues. But deliveries were delayed. Errors in production, sourcing, documentation.

When we asked them to have deep conversations with their clients, they were told: "We are not thinking of giving you more business — not because we do not have it, but because you seem overloaded. We have been building alternative suppliers." Both companies were at approximately 25% of production capacity. BUSYness was driving away the Business.

Link Six: Brand Compromised.

A compromised delivery experience produces a compromised brand — not through a single catastrophic failure, but through the steady accumulation of slightly-below-expectation experiences. "Good product, but you have to stay on top of them." That phrase — *you have to stay on top of them* — is not a relationship category. It is a brand position. And it is the most expensive position in the

market, because it requires your clients to invest their own management energy in managing you.

Instead of you solving the client's problems, you have become the problem the client has to solve.

Link Seven: Future Compromised.

The organisation that has compromised recruitment, training, promotion, sales, delivery, and brand has not just underperformed in the present. It has mortgaged its future. The capabilities it needs to compete tomorrow are not being built today.

Gallup puts a number on the total cost: actively disengaged employees cost US businesses between $450 and $550 billion in lost productivity every single year. That is the cost of presence without engagement. People showing up, attending meetings, completing tasks, delivering slightly below what they are capable of — because the architecture of the organisation has calibrated them to exactly that level. The chain did not produce disengagement. It produced the conditions in which disengagement was the rational response.

The CEO's Representative

This is one of the most important reframes in this entire book.

A supervisor is not a senior employee with administrative responsibilities. A manager is not an individual contributor with a larger title. At every level, the role is precise and demanding: *to be the CEO's representative.*

Not in a bureaucratic sense. In a consequential sense. The CEO cannot be everywhere. The supervisors and managers are everywhere. They are the culture. They are the standard. Every decision a manager makes in a room the CEO is not in is either carrying the organisation's purpose, strategy, and standards further into the world — or eroding them.

What must a manager know? The strategy being built. The culture being created. Their specific role in the architecture of building something extraordinary. What must a manager do? Make decisions — in the CEO's absence — that the CEO would be proud of. Develop people with the same intentionality the CEO would bring.

This is the standard. Not the job description. The standard. And it starts with the CEO holding it.

We say to our clients quite often: if you want to win a horse race, it is a good idea to start with a horse. Do not say "we could not find one, could not afford one, so we got a white animal and put the label 'horse' on it."

Exercises — Chapter 4: The Competency Chain

Answer each of these without softening:

— **Recruitment:** Is every person hired in the last twelve months someone you would hire again, with full knowledge of how they have actually performed?

— **Training:** Is every person in your organisation receiving the development they need to be excellent in their current role — not just adequate?

— **Promotion:** Were every supervisor and manager specifically prepared for leadership before being given that leadership responsibility?

— **Sales:** Is every client your organisation currently serves the right client — right fit, right margin, right commitment?

— **Delivery:** Does what your organisation delivers match or exceed what it promises — every time?

— **Brand:** Is the experience your customers have of your organisation worthy of the brand you believe you have?

— **Future:** Is your organisation building the capabilities today that it will need to win tomorrow?

If any answer is no, you have identified a link in your compromise chain. The question is not whether to fix it. The question is whether you are willing to hold the standard that was never held — starting today.

Exercise 2: The Chain Diagnosis

— Where does your compromise chain begin? Which link broke first?

— What was the pressure that produced the original compromise? Was it real, or was it the organisation's habit of urgency?

— If you drew an honest map of how that first compromise has cascaded through your organisation, what would it include?

Exercise 3: The Manager Audit

— Name your five most important managers. For each one, ask: Are they prepared for leadership — or were they promoted because they were excellent individual contributors?

— Which of them is currently the weakest link between your strategy and your frontline?

— What is the one investment in people development you have been deferring — and what has that deferral cost you in the last twelve months?

The Mirror Question

Where has *"they will figure it out"* been your operating assumption?

Write the name of one person who was placed in a role without adequate preparation. What has that cost them? What has it cost the organisation? What would you have done differently?

High-Performance is not a programme. It is a standard. Set it. Hold it. Never compromise it. That is the only way out of BUSYness.

O | *Own*

Own the reality of your organisation without excuses.